MoCRA Cosmetics Compliance Program — Concept Dossier

Tier: B — Promising (a weak B, one point above "Pass") | Objectives Score: 69 / 100 | June 15, 2026

Ranked #3 of 3 surfaced concepts. Forcing function: REGULATORY mandate (FDA / MoCRA).

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1. In one paragraph

There's a new federal law (passed in 2022, phasing in since 2023) that, for the first time, forces every U.S. cosmetics company above about $1M in sales to register with the FDA, list all their products and ingredients, keep safety paperwork, and report any serious bad reactions to the FDA within 15 business days — forever, with renewals every two years. Most small beauty brands have no idea how to do this and don't want to learn. The idea is to sell them a "we handle all of it for you" subscription: a simple web dashboard plus a bit of expert hand-holding, for roughly $3,000–$12,000 a year. Think "tax software plus a tax preparer," but for FDA cosmetics rules.

2. Who pays — and why they can't say no

The buyer is the owner or compliance person at a small-to-mid beauty brand (skincare, makeup, haircare, fragrance) doing more than ~$1M/year. **The forcing function is a regulatory mandate (Type 1)** — federal law, not optional — reinforced by a **contractual requirement (Type 2)**: big retailers (Sephora, Ulta, Target, Amazon) now ask brands to *prove* they're FDA-registered before stocking them. If a brand ignores it, the FDA can suspend their registration (legally stopping sales) and retailers can drop them. **The honest catch:** the FDA also built a free website where a brand can do the basic filing themselves for $0, and cheap services do it for ~$649. So the *need to comply* is rock-solid, but the *need to pay us specifically* is softer for the simplest customers — the crack in the foundation.

3. The money (plain terms)

~$3,000–$12,000/year (most landing ~$5,000–$6,500), plus a $1,000–$3,000 setup fee. The math to ~$300K/year each by month 12 needs roughly **130–200 paying brands**; ~$500K each by month 24 needs **270–360**. The count is achievable. The big question is price: competitors charge as little as **$199/month (~$2,400/year)** and the FDA's site is free, so we'd ask 3–8x more than some buyers can see elsewhere. *Estimates — the price is the #1 thing to test before building.*

4. Why we win (the theory — and why it's shaky here)

Our usual move: find a sleepy, old-fashioned market with boring competitors and out-market them. **The problem is that this market is NOT sleepy.** There are beatable dusty filing services at the bottom and a real gap for a friendly, beauty-focused service — but a big, well-funded competitor already does exactly this, so our usual winning move doesn't have clear runway.

5. The competition (from the analyst — read this twice)

Our competitive analyst rated this area **4.7/10**, by far the lowest of six experts:

• **Registrar Corp — the danger.** Private-equity-backed (Bertram Capital), 30,000+ customers, 18 offices, *already sells a MoCRA compliance plan* and *already owns the exact software* we'd build (Cosmetri). Shows up first on Google for nearly every MoCRA search. Could launch a "Beauty Brands" tier in a weekend, or buy us.

• **Certo** — raised $4M (May 2026) for an AI compliance platform for exactly beauty/personal-care, U.S.-targeted, with a 12–18 month tech head start.

• **Cosmetica** — sells AI-powered MoCRA compliance from **$199/month**, ~a tenth of our top price.

• **The free FDA website** — does the basic filing for $0.

We'd be squeezed from above (the PE roll-up), undercut from below (funded AI startups), and floored by free. Our one edge — better marketing — is the one thing all of them could copy in under three months.

6. The biggest risks (top 3, plain)

1. **No protected position.** Better-funded companies already do this, and anything we do well they copy in <90 days. The make-or-break risk.

2. **Our price is far above what buyers can see elsewhere** ($199/mo and free options exist). If we can't justify 3–8x more, the income plan falls apart.

3. **It might be a one-time job dressed as a subscription.** Much of the work is the initial setup; if customers feel "done" after year one and cancel, we're constantly replacing lost customers.

7. What we'd test next (cheap experiments — next steps, not reasons the score is low)

1. **Talk to 15–20 brands + 3–5 retail buyers** (~$0, ~3 weeks): Do brands fear the safety/bad-reaction paperwork most? Do retailers truly *require* proof to stock?

2. **Fake pricing page + chase signed letters of intent** (~$2K, ~30 days): Will 5–10 brands commit to $3K+/year *above* the $199/month option? If not, the price is dead.

3. **Approach 5–10 contract manufacturers** (factories making products for dozens of brands) and try to sign 2–3 as referral partners — a locked channel is the only real defense found.

4. **Verify competitors' real prices + U.S. traction** (~2 weeks, free).

8. The scorecard (plain)

• **Must-have / forced demand — 8/10:** Required by federal law + retailers; docked only because a free FDA option exists for simple cases.

• **Competition — 4/10:** The killer. A funded PE-backed incumbent already sells this and owns the software; funded AI startups undercut below.

• **Path to our income — 7/10:** Works *if* price and retention hold — both under threat.

• **Recurring revenue — 7/10:** A real subscription, but risks becoming a one-time setup fee.

• **Probability / demand — 7/10:** Demand near-certain; success for *us* is the question.

• **Capital efficiency — 8/10:** Excellent — pay upfront, cheap to launch.

• **Operations — 8/10:** Excellent — no trucks, fully remote, two of us can run it.

• **Founder fit — 8/10:** Strong on marketing/software; the regulatory gap is bridgeable with one advisor.

• **Scalability — 7/10:** Lifestyle or sellable; capped by the weak moat.

• **Legal risk: SERIOUS BUT MANAGEABLE** — does *not* hurt the tier. We sit *beside* the FDA rules (the client carries the heavy liability), no license needed, risk is insurable.

Honest tier: B, but a weak one — one point above "Pass." Beautifully built on every axis except the one that matters most here: who we're up against. **What would move it up a tier:** stop competing head-on. Narrow to the part funded rivals do worst — the safety paperwork and serious-bad-reaction program — sold as a premium "we own the anxiety" service, tied to a specific retailer's "prove compliance to be stocked" requirement, and distributed through factory/co-packer partnerships. If 60 days of interviews + signed LOIs prove people will pay a premium for *that* version, it becomes a real opportunity. If the only way to win is better marketing the giants can copy, we should pass.

9. Appendix — full council packet

The six complete expert reviews (CFO, CMO, COO, Legal, CTO, Competitive Analyst), the PM synthesis, and the documented two-directional red-team are saved verbatim in the repository at `runs/2026-06-15/reviews/01-mocra-*.md` for anyone who wants the full rigor behind this plain-English summary.

One-Page Scorecard — MoCRA Cosmetics Compliance Program

Tier B (Promising — weak, bottom of band) | Objectives Score: 69 / 100 | June 15, 2026

#	Dimension (weight)	Score	One-line reason
1	Must-have / forcing function (25)	8	Federal law + retailer gating force the buy; docked for the free FDA DIY option
2	Competition & defensibility (18)	4	PE-backed incumbent (Registrar Corp) owns service + software; funded AI rivals undercut; no moat
3	Path to founder income (13)	7	~130–200 brands hits ~$300K each — works only if price and retention hold
4	Recurring revenue (12)	7	Real subscription, but risks being a one-time setup fee if customers churn
5	Probability / demand evidence (10)	7	Demand near-certain; success for us threatened by funded competitors
6	Capital efficiency (8)	8	Pay-upfront, cheap to launch, ~8–12 week software build
7	Operational tractability (5)	8	No field ops, fully remote, two founders can run it
8	Skill / founder fit (5)	8	Strong on marketing/software; regulatory gap bridgeable via one advisor
9	Scalability optionality (4)	7	Lifestyle or sellable; capped by the weak moat

Objectives Weighted Score: 69 / 100 — Tier B (one point above Pass)

• **Legal risk-gate:** SERIOUS BUT MANAGEABLE (does not lower the tier)

• **Lowest single sub-score anywhere:** 3 (Competitive Analyst — differentiation durability, reach-down risk, competitive-response resilience all at 3)

• **Six expert averages:** CFO 7.9 · CMO 7.0 · COO 7.6 · Legal 7.3 · CTO 7.9 · **Competitive 4.7**

• **What moves it up a tier:** Abandon the head-on "registration + listing" product. Re-aim at the safety-substantiation / serious-adverse-event *program* (where funded rivals are weakest), tie it to a specific retailer's vendor-onboarding requirement, distribute through co-packer partnerships, and prove with signed paid LOIs that buyers will pay a premium above the $199/mo anchor.